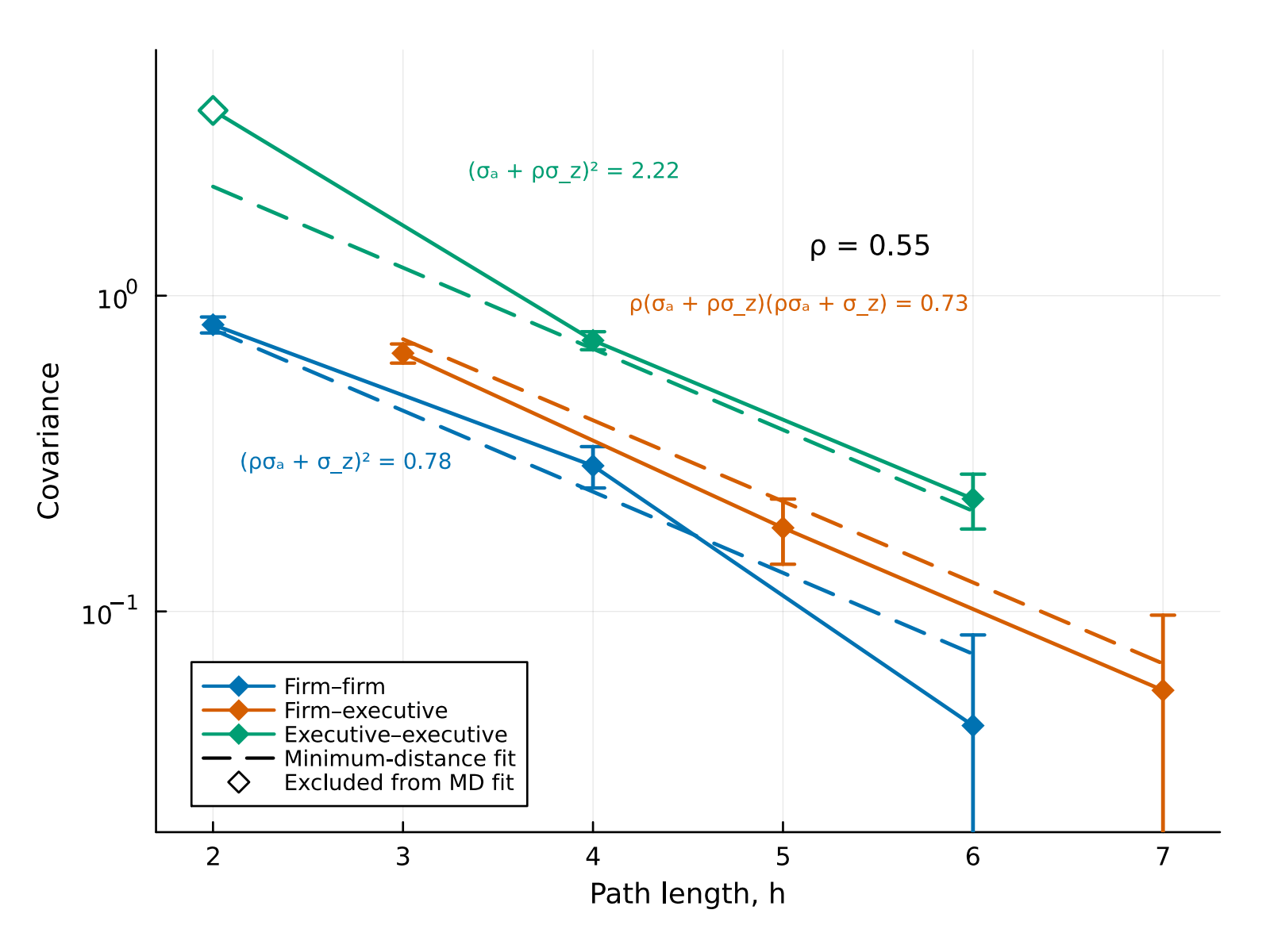
$(\sigma_a + \rho\sigma_z)^2 = 2.22$
$\rho = 0.55$
$\rho(\sigma_a + \rho\sigma_z)(\rho\sigma_a + \sigma_z) = 0.73$
$(\rho\sigma_a + \sigma_z)^2 = 0.78$
Covariance
10^0
10^{-1}
Firm–firm
Firm–executive
Executive–executive
Minimum-distance fit
Excluded from MD fit
2
3
4
5
6
7
Path length, h